

Public Advanced Learning

Module 002

Course Title: Reflecting on Kenya's 2026 Budget Policy Statement (BPS)

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What to expect?

- **Decode the Budget's Secret:** Understand the purpose and timeline of the BPS.
- **Master the 5 Key Pillars:** Explore the BETA Agenda (Agriculture, Digital, etc.).
- **Track the Trillion-Shilling Debt:** Analyse the big numbers and interest payments.
- **Battle the Climate Risk:** Understand the big fiscal dangers.
- **Quiz: Are you a detective?** Multiple-choice challenges await you.
- **Share Your Policy Opinion:** Reflect and propose your own solutions

1. What is a Budget Policy Statement

The Budget Policy Statement (BPS) is a government policy document that sets out the broad strategic priorities and policy goals that should guide the national and county governments in preparing their budgets for the next financial year and over the medium term.

The document is submitted to Parliament by the **15th of February every year** in line with section 25 of the Public Finance Management (PFM) Act and contains the following:

- a) An assessment of the current state of the economy including macroeconomic forecasts as well as the priorities of the Government current pillars of growth and strategic directions
- b) The financial outlook with respect to the government revenue, expenditures and borrowing for the next financial year and over the medium term.
- c) The proposed expenditure ceilings for the National Government including those of Parliament and the Judiciary and indicative transfers to county governments.
- d) The fiscal responsibility principles and financial objectives over the medium-term including limits on total annual debt.
- e) Statement of specific fiscal risks.

The BPS guides the County Fiscal Strategy Paper (CFSP) which is the equivalent of the BPS at the County level. Once it is approved by Parliament, it is expected to form the basis for the preparation of the national budget which will be presented to Parliament by April 30th.

2. The 2026 Budget Policy Statement

The theme of the BPS 2026 is, “Consolidating Gains Under the Bottom-Up Economic Transformation Agenda for Inclusive and Sustainable Growth.”

It has five sections which are summarized as follows:

2.1 ACCELERATING GAINS UNDER THE BOTTOM-UP ECONOMIC TRANSFORMATION AGENDA FOR INCLUSIVE AND SUSTAINABLE GROWTH

This chapter explains the government's main development plan, the Bottom-Up Economic Transformation Agenda (BETA). The goal is to grow the economy through the following five main focus areas, also known as the pillars.

2.1.1 Agricultural transformation

The government intends to prioritize food security through crop diversification, modernizing agricultural value chains, strengthening extension services, improving livestock productivity and expanding agricultural insurance schemes. Specific interventions in the BPS are on expanding access to fertilizer subsidies, improving large scale irrigation, supporting farmers through agricultural insurance services, distribution of assorted fruit tree seedlings, support to livestock geniting improvement programmes, livestock vaccination, identification and traceability mechanisms to enhance quality assurance and food safety. Further, these will be complemented by meat, dairy and leather processing infrastructure, regulatory reforms, trade facilitation initiatives and increased private sector participation aimed to improve competitiveness, expand export volumes and increase foreign exchange earnings from the private sector.

2.1.2 Transforming MSMEs

The BPS recognizes structural constraints faced by MSMEs including limited access to affordable credit, punitive collateral requirements, high interest rates averaging 18 percent, restrictive licensing framework, inadequate infrastructure, weak market linkages, and low technical and managerial capacity. The BPS therefore proposes to increase access to affordable credit by expanding the Hustler Fund, expanding the credit guarantee scheme and strengthening linkages between Kenya Industrial Estates financing products and the credit guarantee scheme to enhance affordability and enhance credit uptake by MSMEs. Further, NYOTA beneficiaries will be linked to complementary financial interventions including the Hustler Fund, Uwezo Fund and KIE financing windows to support enterprise graduation and financial upscaling. MSME hubs will be set up in all 47 counties to offer business mentorship, and technical training.

2.1.3 Healthcare

The target is to achieve Universal Health Coverage. The government plans to expand enrolment into the Social Health Authority, targeting 35 million people. The government also intends to strengthen community health services, build and equip health facilities and improve digital health systems.

2.1.4 Housing and Settlement

The government will continue to support housing finance through Kenya Mortgage Refinance Company (KMRC), create jobs in construction, develop markets and urban renewal projects.

2.1.5 Digital superhighway and creative economy

The government will expand fibre internet across the country, install public Wi-Fi hotspots, digitize all government services, train youth in digital skills; support film, music, fashion and digital content industries.

2.1.6 Enablers/Support Systems

The government will invest in roads and railways; electricity and renewable energy; water and irrigation; manufacturing; oil and gas exploration; e-mobility (electric vehicles).

2.1.7 The National Infrastructure Fund

The government also plans to create the National Infrastructure Fund and Sovereign wealth fund to raise money for long term investments.

2.2 RECENT ECONOMIC DEVELOPMENTS AND MEDIUM-TERM OUTLOOK

This chapter explains how Kenya's economy is performing, what is happening globally and what is expected in the next few years.

In 2025, Kenya's economy grew by around 5%, supported by agriculture, services and industry. Inflation has eased. Revenue collection fell below target therefore increasing government spending pressures

The government plans to continue with reducing expenditure, increasing domestic revenue through tax reforms, improving tax compliance, controlling spending and improving efficiency.

GDP is expected to grow at 5.3 percent in 2026 and 2027.

2.3 BUDGET FOR FY 2026/2027 AND THE MEDIUM TERM

In FY 2026/27, total revenue including appropriations-in-aid is forecasted at Ksh. 3,588.1 billion, up from Ksh. 3,368.6 billion in 2025/26. Total expenditure is projected at Ksh. 4,737.5 billion up from 4,301.9 billion in the approved FY 2025/26 budget.

Interest payment on public debt is estimated at Ksh. 1,203.1 billion in FY 2026/27.

The fiscal deficit (spending gap to be financed through debt) is estimated at Ksh. 1,149.5 billion in FY 2026/27. This will be financed through Ksh. 225.5 billion borrowed from foreign sources and Ksh. 924 billion from domestic borrowing.

2.4 COUNTY FINANCIAL MANAGEMENT AND DIVISION OF REVENUE

The BPS proposed to allocate **Ksh. 420 billion** to county governments in FY 2026/27. This is a Ksh. 5 billion increase from the 2025/26 level.

There is a further allocation of **Ksh. 75.69 billion as additional allocations** to counties, of which Ksh. 18.3 billion is from the national government's share of revenue and Ksh. 57.4 billion is from development partners.

The National government's share of revenue allocations will cater for Community Health Promoters (Ksh. 3.235 billion); Universal Health Coverage Workers (Ksh. 8.938 billion); Supplement Construction of County Headquarters (523 million); County Aggregation and Industrial Parks (CAIPS) programme (Ksh. 3.250 billion); and 0.5% of Housing Levy Fund to the County Rural and Urban Affordable Housing Committees (Ksh. 366 million).

There is also an unconditional allocation amounting to Ksh. 1,981 million, of which Ksh. 148 million is from court fines accrued from contravention of county laws and Ksh. 1,833 million is from the 20% share of mineral royalties. The Equalisation Fund is allocated Ksh. 9.6 billion.

2.5 STATEMENT OF SPECIFIC FISCAL RISKS

Main risks identified that could affect government finances are as follows:

1. Public Debt Risk – rising debt levels; interest payment pressures; exchange rate. Risks
2. Contingent Liabilities – Government guarantees; State-Owned Enterprises (SoEs); public private partnership commitments
3. Macroeconomic risks – lower than expected growth; revenue shortfalls
4. Climate change risks – droughts and floods, food insecurity, infrastructure damage
5. Devolution risks – county fiscal pressures; pending bills

3. Learning Challenge

1. Budget Detective (Multiple Choice)

What is the main purpose of the Budget Policy Statement (BPS)?

- A. To collect taxes from citizens
- B. To guide how national and county governments prepare their budgets
- C. To replace the national development plan
- D. To approve all government projects

 **Correct Answer: B**

2. Your First Reflection

Before learning about the BPS, how often did you think about **how national budgets affect your daily life?**

- Very often
- Sometimes
- Rarely
- Never

What areas of your life do you think government budgets influence the most?

3. Timeline Challenge ⌚ (Multiple Choice)

By law, the Budget Policy Statement must be submitted to Parliament by:

- A. January 1
- B. February 15
- C. March 30
- D. April 30

✅ **Correct Answer: B**

4. Policy Explorer 🔍 (Multiple Choice)

Which agenda guides the development priorities highlighted in the **2026 BPS**?

- A. Vision 2030 Growth Plan
- B. Bottom-Up Economic Transformation Agenda (BETA)
- C. East African Development Strategy
- D. National Industrial Policy

✅ **Correct Answer: B**

5. Pause & Reflect 🌱

If you were designing an economic strategy for Kenya, **which sector would you prioritise first and why?**

- Agriculture
- Small businesses (MSMEs)
- Healthcare
- Digital economy
- Infrastructure
- Education

6. Farmer's Dilemma 🌾 (Scenario Question)

You are a farmer benefiting from fertilizer subsidies and improved irrigation. What would likely happen if these programmes succeed?

- A. Increased crop production
- B. Reduced food supply
- C. Higher unemployment in rural areas
- D. Less agricultural exports

✅ **Correct Answer: A**

7. Business Builder (Multiple Choice)

Many MSMEs struggle to access credit. Which BPS intervention aims to address this?

- A. Expanding the Hustler Fund and credit guarantee scheme
- B. Increasing business licensing fees
- C. Limiting bank lending to small businesses
- D. Increasing corporate tax

 **Correct Answer: A**

8. Reflection Break: Entrepreneurship

Imagine you are a **young entrepreneur starting a small business**.

Which support would make the biggest difference for you?

- Affordable loans
- Business mentorship
- Digital skills training
- Access to markets

Why?

9. Budget Balancing Act (Multiple Choice)

When government spending is **higher than its revenue**, the difference is known as:

- A. Fiscal surplus
- B. Fiscal deficit
- C. Monetary balance
- D. Public investment

 **Correct Answer: B**

10. Debt Pressure Puzzle (Multiple Choice)

Interest payments on Kenya's public debt are projected at over **Ksh. 1 trillion**. What challenge might this create?

- A. Reduced funds for development and social services
- B. Lower tax collection
- C. Faster economic growth
- D. Reduced public borrowing

 **Correct Answer: A**

11. Citizens' Lens 👁️ (Reflection)

Why do you think **citizens should understand government budgets**, even if they are not economists? Write one or two reasons.

12. County Impact Map 🗺️ (Multiple Choice)

The BPS proposes allocating **KES. 420 billion** to county governments. What is the main purpose of this transfer?

- A. Funding local development and public services
- B. Repaying domestic loans
- C. Supporting foreign investments
- D. Honouring the constitution

✅ **Correct Answer: A**

13. Risk Radar ⚠️ (Multiple Choice)

Which of the following is identified as a **major fiscal risk** in the BPS?

- A. Rising public debt and interest payments
- B. Decreasing internet use
- C. Reduced population growth
- D. Lower rainfall every year

✅ **Correct Answer: A**

14. Future Thinking 🌐 (Reflection)

The BPS identifies **climate change risks such as droughts and floods**. How might these affect Kenya's economy and public finances? Think about agriculture, infrastructure, or food security.

15. Final Budget Challenge 🏁

Imagine Parliament asks for **one key improvement** before approving the BPS. Which area would you strengthen most?

- Agriculture and food security

- MSME development
- Healthcare
- Digital economy and youth innovation
- Infrastructure investment

Explain your choice in **2–3 sentences**.